

The Freedom of Financial Independence

First, financial independence means you're free from debt. I mean *totally* free, house and all. At this point, you don't owe anything to anyone. Everything you have is *yours*, and it all goes in your asset column. Your liability column is completely empty. There are no credit card bills, car loans, mortgage payments, or student loans (yours or your kids'). There is no risk of default, no creditors barking for your money, and not a single dime wasted on interest payments. Your money is, once and for all, free from all other claims.

Second, financial independence means your assets have grown into a mountain of wealth. We've seen how investing even a small amount consistently can make you a multimillionaire by retirement. If you get a \$50,000 job right out of college and invest the recommended 15% of your income into your 401(k), you could retire with more than \$3.6 million by age sixty-five. And guess what? That happens even if you never get a raise, never get an inheritance, and never win the lottery. If you want to see something really crazy, dig into the math in this example. Forty years of saving 15% of \$50,000 means you're investing \$625 per month. After forty years, your all-time contributions would total \$300,000. Don't miss that. You would have only put in \$300,000, but you'd end up with \$3.6 million. By starting early, staying consistent, and putting your money to work month after month, you would have literally *created* more than \$3 million in wealth. That is free money, and it is yours for the taking. Do you think you'd be financially independent if you were debt-free, had a paid-for home, and had \$3.6 million sitting in the bank? Yeah, I do too.

Third, financial independence means you have a self-sustaining income stream for the rest of your life. Here, your investments have replaced your income. That's what we call the *pinnacle point*—when the income your investments create every year is more than the income you used to make at your job. Go back to the example above. If that was you, you lived on a